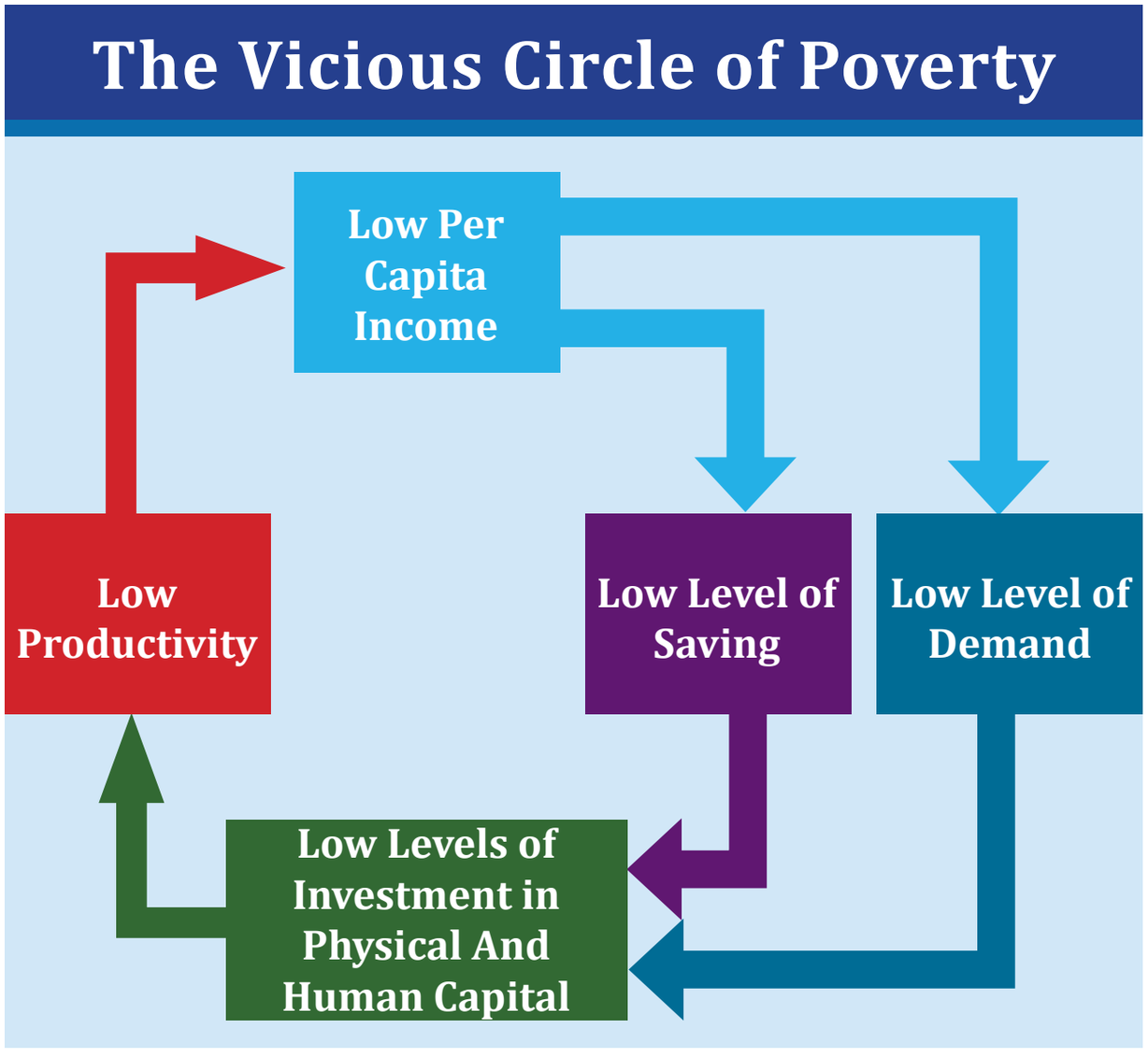
may suffer, according to Thomas Piketty.

9. Patrimonial Capitalism : If the assets are simply passed on to children from their parents, the children would not work hard, because the children do not know the value of the assets. Hence productivity will be low as per Thomas Piketty.

11.6 Vicious Circle of Poverty



There are circular relationships known as the 'vicious circles of poverty' that tend to perpetuate the low level of development in Less Developed Countries (LDCs). Nurkse explains the idea in these words: "It implies a circular constellation of forces tending to act and react upon one another in such a way as to keep a poor country in a state of poverty. For example, a poor man may not have enough to eat; being underfed, his health may be weak; being physically weak, his working capacity

12-Economics-Chapter_11.indd 243 2/6/2020 12:00:53 PM